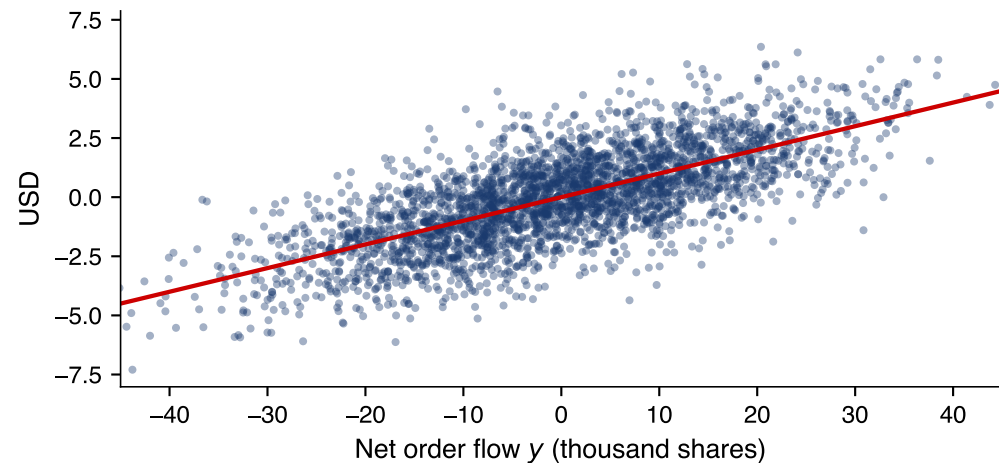
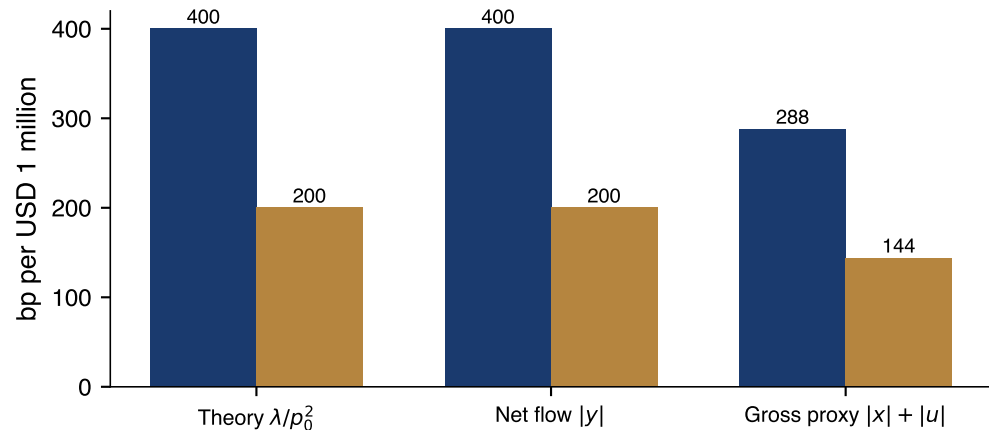


(1) Both regressions on y have slope λ



(2) Amihud-type ratio: the denominator matters



• $v - p_0$ (first 3,000 auctions)
— $p - p_0 = \lambda y$, $\lambda = 0.0001$ USD per share

■ $\sigma_u = 10,000$ shares
■ $\sigma_u = 20,000$ shares (doubled noise)